Chapter 17

GOLD

PERSPECTIVE

The Great Bull Market

The 1967-1980 bull market in gold was tracked by Prechter and Frost from 1972 forward and was referenced in *Elliott Wave Principle* (1978). Our cautiously stated outlook at the time was that "the A-B-C expanded flat correction implies great thrust in the next wave to new high ground." Gold more than quadrupled from that level, peaking at $850 per ounce, which is just above a Fibonacci 4.236 times 1974's peak price of $197.50 (the high on the futures exchange in Winnipeg was $198.70).

Bullion topped out in January 1980, and mining stocks topped out in September. As you can see from Figure 17-1, the picture in gold after a Fibonacci 13 years of rise was picturesque Elliott Wave, five waves up bounded by a parallel trend channel. At top tick, wave V precisely met the resistance line that connected the highs of waves I and III. As mentioned in Chapter 14, the January 1980 issue of *Commodities* magazine published *The Elliott Wave Theorist's* expectations for a peak in inflation, interest rates and precious metals. Included were the following comments about peaks in gold and silver, the magnitude of the turn and the ultimate lows:

Elliott counts suggest bear moves

"Elliott counts suggest important tops in silver, gold, the major commodity market indexes and short-term interest rates," says well-known Elliott wave analyst Robert Prechter in a recent special report of his newsletter, *The Elliott Wave Theorist*.

"If my wave count is valid, silver can be expected to drop back to between **$4 and $6 per oz.** sometime in the next decade," Prechter says. "The Elliott outlook for depression in the late '80s may go hand in hand with such a price collapse."

Prechter does caution that if the upper trendline on his semilog silver chart is pierced by too great a margin in coming months, he may have to do some recounting.

Prechter's gold charts indicate an upside target of $482 per oz. and **a downside target of $282.50**, the low of wave 4.

In the final month of rise, gold nearly doubled in a blowoff, then retraced that gain in a crash two months later, kicking off the bear market. In the years thereafter, gold and silver found their way to the downside targets that had been issued near the height of